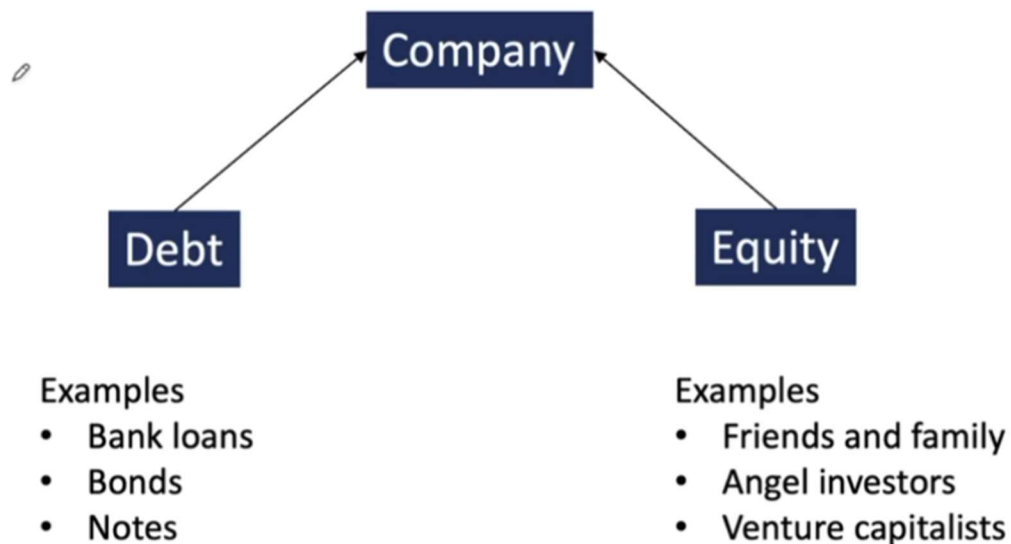


How to Value a Loss-Making Stock

Problem with high growth stocks

Growth Stage	Stage 1	Stage 2	Stage 3	Stage 4	Stage 5	Stage 6
	Start-up	Young Growth	High Growth	Mature Growth	Mature Stable	Decline
Revenue Growth	>100%	>50%	25%-50%	10%-25%	0%-5%	<0%
Operating Profits (or EBIT)	Large operating losses	Operating losses narrow	Operating profits turn positive	Operating profits grow quickly	Operating profits level off	Operating profits decline
Net Profits	Large losses	Losses narrow	Turning positive	Earnings growing above 10%	Earnings flat	Losses
Reinvestment	Very high	High	Remain large, but scale down as percent of firm	Decrease	Scale down further	Divestment
Free Cash Flow	Negative	Negative	Cross over to positive	Positive & growing	Positive & stable	Positive & dropping
Dividends	No dividends	No dividends	No dividends	Rising dividends but yield is low	Stable dividends and higher yield	No dividends

Two ways to fund a business



Companies that are 'asset-light' typically have to give away equity because they have nothing to use as collateral for bank loans etc.

Need capital to sustain loss-making periods.

Cash on Hand & Months of Runway

18.5 months of runway as in April



Consistently need to generate capital to do so.

Loss Making companies tend to have huge cash pile

Company	Cash balance	% of Market Cap
Grab	\$3,387m	29%
Peloton	\$879m	21%
Monday	\$850m	16%
Teladoc	\$836m	15%
Unity	\$1,152m	8%

The cash pile is worth something...

Price Ratio Ignores the cash

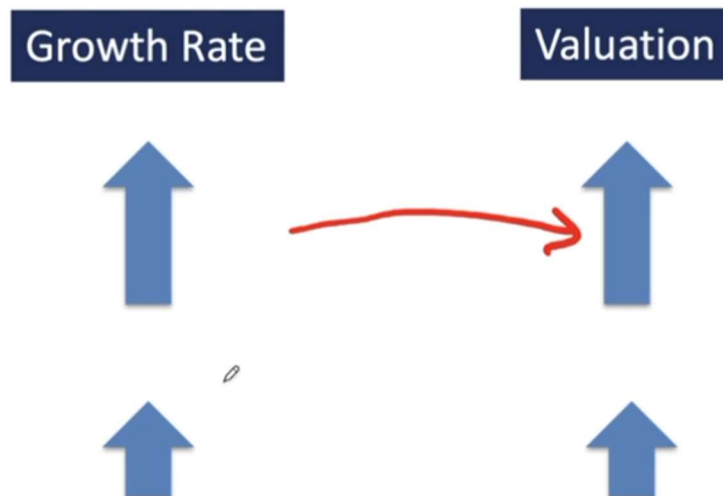
$$PS\ Ratio = \frac{Market\ Capitalisation}{Total\ Revenue}$$

Need a positive number to generate a real model for this. The PE ratio is obviously negative in a loss-making company. Cash is excluded therefore the PS ratio is not usable. Its important but not super useful.

Must use the enterprise value

$$Enterprise\ Value = Market\ Cap - Cash + Total\ Debt$$

Valuation largely depends on revenue growth rate



Note: Market leaders command a premium too

Market leaders ie open ai in the world of AI also command a premium. So maybe 60% of the valuation is the fact that it was novel and they were the market leader.

Historical $\neq$ Forward Growth Rate

P/S (price to sales ratio) typically uses historical rev

Need: Future Growth

- Historical Revenue growth rate isn't helpful.
- Future growth rate is more important
- Need to use **Forward Revenue**
- Can base this on management guidance or analysts' consensus.

Formula to use going forward:

Enterprise Value/ Forward Revenue

Lower = cheaper

Do a peer comparison – always compare with something. Compare with other companies.

	Enterprise Value	Forward Revenue	Forward Revenue Growth Rate	EV/Forward Revenue
Grab 	\$5.22b	\$3.47b	+31%	1.5x
Uber 	\$46.18b	\$36.4b	+21%	1.3x
Lyft 	\$4.95b	\$5.26b	+25%	0.9x
Didi 	\$3.578b	\$26.1b	+23%	0.1x